



CENTUM INVESTMENT COMPANY LIMITED

**INTERIM REPORT AND
FINANCIAL STATEMENTS**

30 SEPTEMBER 2011

Table of contents	<u>Page</u>
Directors' report	3
Financial statements:	
Consolidated statement of comprehensive income	4
Company statement of comprehensive income	5
Consolidated statement of financial position	6
Company statement of financial position	7
Consolidated statement of changes in equity	8
Consolidated statement of cash flows	9
Notes	10-16

The directors present their report together with the unaudited financial statements for the half year ended 30 September 2011.

PRINCIPAL ACTIVITIES

The principal activity of the Group and its subsidiaries remains that of engagement in investment activities.

RESULTS

	30 September 2011	2010
	Kshs'000	Kshs'000
Profit before taxation	827,922	837,219
Taxation	(34,745)	8,366
Profit for the year transferred to revenue reserve	<u>793,177</u>	<u>845,585</u>

DIVIDEND

Directors do not recommend the payment of a dividend (2010: nil).

APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the Board of Directors on 8 November 2011.

By order of the Board

Naomi E. Nyamongo
Secretary
Nairobi

8 November 2011

Interim Consolidated statement of comprehensive income

	Notes	30 September	
		2011	2010
		Kshs'000	Kshs'000
Income	4	728,352	705,346
Expenses			
Administrative expenses		(90,505)	(103,900)
Operating expenses		(66,441)	(31,230)
Finance costs		(42,485)	(4,603)
		<u>(199,431)</u>	<u>(139,733)</u>
Share of profits of associate companies		299,001	271,606
Profit before tax		827,922	837,219
Income tax (expense)/credit	5	(34,745)	8,366
Profit for the year		793,177	845,585
Other comprehensive income for the year			
Reserves released on disposal of investments		(531,414)	(489,550)
Share of other comprehensive income of associates		59,540	73,100
Fair value gain in unquoted investments		185,548	133,424
Fair value gain in quoted investments		(338,865)	406,239
Currency translation differences		218,409	-
Total other comprehensive (loss)/income		(406,783)	123,213
Total comprehensive income		<u>386,394</u>	<u>968,798</u>
Earnings per share-basic	6	1.31	1.40
Earnings per share-diluted	6	1.19	1.27

Company statement of comprehensive income

	Notes	30 September 2011 Kshs'000	2010 Kshs'000
Income	4	522,904	955,770
Expenses			
Administrative expenses		(85,545)	(102,828)
Operating expenses		(45,000)	(30,084)
Finance costs		(42,457)	(63,208)
		(173,002)	(196,120)
Profit before income tax		349,902	759,650
Income tax(expense)/credit	5	(34,745)	8,366
Profit for the year		315,157	768,016
Other comprehensive income for the year			
Reserves released on disposal of investments		(96,309)	(489,550)
Fair value gain in subsidiaries		127,848	352,015
Fair value gain in associates		(275,064)	570,938
Fair value gain in unquoted investments		185,548	133,423
Fair value gain in quoted investments		(324,621)	50,670
Total other comprehensive income		(382,598)	617,496
Total comprehensive income		(67,441)	1,385,512

Consolidated statement of financial position

	Notes	At 30 Sept 2011 Kshs'000	At 31 Mar 2011 Kshs'000
Assets			
Deferred income tax asset		792	30,443
Taxation recoverable		-	2,654
Investment property		3,902,820	3,525,578
Motor vehicle and equipment		25,906	26,813
Intangible assets		4,537	5,404
Investment in associates		3,554,432	3,377,305
Unquoted investments		1,514,458	1,338,664
Quoted investments	8	1,335,909	3,208,611
Corporate bonds at fair value through profit or loss		1,421,806	539,188
Receivables and prepayments		122,478	240,140
Bank balances		343,217	6,776
		<u>12,226,355</u>	<u>12,301,576</u>
Capital and reserves attributable to the Company's equity holders			
Share capital	9	302,474	302,474
Share premium		589,753	589,753
Investment revaluation reserve		2,036,955	2,443,738
Retained earnings		7,016,589	6,223,412
Total equity		<u>9,945,771</u>	<u>9,559,377</u>
Liabilities			
Borrowings		1,451,887	1,987,980
Payables and accruals	10	792,886	719,170
Taxation payable		1,289	-
Unclaimed dividends		34,522	35,049
		<u>2,280,584</u>	<u>2,742,199</u>
		<u>12,226,355</u>	<u>12,301,576</u>

Company statement of financial position

	Notes	At 30 Sept 2011 Kshs'000	At 31 Mar 2011 Kshs'000
Assets			
Deferred income tax asset		888	30,539
Taxation recoverable			832
Investment Property	7	-	265,000
Motor vehicle and equipment		25,858	26,754
Intangible assets		2,611	3,052
Investment in subsidiaries		2,146,353	1,753,506
Due from subsidiaries		1,965,217	2,221,780
Investment in associates		5,970,723	6,230,521
Unquoted investments		1,514,458	1,338,664
Quoted investments	8	1,272,903	2,422,116
Corporate bonds at fair value through profit or loss		1,421,806	539,188
Receivables and prepayments		245,341	165,745
Cash and cash equivalents		341,559	5,903
		<u>14,907,717</u>	<u>15,003,600</u>
Capital and reserves			
Share capital	9	302,474	302,474
Share premium		589,753	589,753
Investment revaluation reserve		7,713,629	8,106,034
Retained earnings		3,879,070	3,554,106
Total equity		<u>12,484,926</u>	<u>12,552,367</u>
Non-current liabilities			
Borrowings		1,451,888	1,987,980
Payables and accruals		90,250	144,332
Tax payable		3,109	-
Due to Subsidiary		843,022	283,872
Unclaimed dividends		34,522	35,049
		<u>2,422,791</u>	<u>2,451,233</u>
		<u>14,907,717</u>	<u>15,003,600</u>

Consolidated statement of changes in equity

	Share capital Kshs'000	Share premium Kshs'000	Investment revaluation reserve Kshs'000	Retained earnings Kshs'000	Total equity Kshs'000
30 September 2010					
At 1 April 2010	274,976	589,753	3,032,911	3,958,527	7,856,167
Comprehensive income					
Profit for the year	-	-	-	845,585	845,585
Other comprehensive income	-	-	123,213	-	123,213
Total comprehensive income	-	-	123,213	845,585	968,798
Transactions with owners					
Issue of bonus shares	27,498	-	-	(27,498)	-
Total transactions with owners	27,498	-	-	(27,498)	-
At 30 September 2010	302,474	589,753	3,156,124	4,776,614	8,824,965
30 September 2011					
At 1 April 2011	302,474	589,753	2,443,738	6,223,412	9,559,377
Comprehensive income					
Profit for the period	-	-	-	793,177	793,177
Total other comprehensive income	-	-	(406,783)		(406,783)
At 30 September 2011	302,474	589,753	2,036,955	7,016,589	9,945,771

Consolidated statement of cash flows

	30 September 2011 Kshs'000	2010 Kshs'000
Cash flows from operating activities		
Cash generated from operations	93,341	(225,001)
Income tax paid	(1,151)	(708)
Dividends received from associates	196,679	180,855
Net cash generated from operating activities	288,869	(44,854)
Cash flows from investing activities		
Purchase of property investment	(38,574)	-
Purchases of equipment	(1,076)	(9,403)
Proceeds from disposal of equipment	-	-
Purchases of intangible assets	(258)	(597)
Purchase of shares in associates	(15,266)	(45)
Purchase of unquoted equity investments	(23,488)	(79,743)
Purchase of quoted equity investments	(96,532)	(636,416)
Purchase of corporate bonds	(2,793,644)	(505,371)
Proceeds from disposal of quoted investments	3,520,297	265,147
Proceeds from disposal of unquoted investments	33,241	1,083,606
Purchase of investment property		
Net cash (used in)/from investing activities	584,700	117,178
Cash flows from financing activities		
Dividends paid to Company's shareholders	(527)	(5,728)
Net cash used in financing activities	(527)	(5,728)
Net (decrease)/increase in cash and cash equivalents	873,042	553,491
Cash and cash equivalents at beginning of year	(981,204)	(159,850)
Cash and cash equivalents at end of period	(108,162)	393,641

Notes to the financial statements

1 BASIS OF PREPARATION

The financial statements have been prepared in accordance with International Accounting Standard 34, Interim Financial Reporting.

2 SIGNIFICANT ACCOUNTING POLICIES

The financial statements have been prepared under the historical cost convention as modified by revaluation of equity investments.

The same accounting policies, presentation and methods of computation have been in these financial statements as were applied in the group's audited financial statements for the half year ended 31 September 2011.

3 SEGMENT INFORMATION

The group's chief operating decision maker is the executive management committee. The group organises its activity by business lines and these are defined as the group's reportable segments under IFRS 8, Operating Segments. The three business lines are; Private equity, Quoted equity and Real Estate & Infrastructure. Performance is reviewed from a total return perspective.

3 SEGMENT INFORMATION (continued)

(a) Group	Private equity	Quoted equity	Real estate & infrastructure	Total
30 September 2011	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	233,229	65,927		299,156
Interest income	-	18,071	-	18,071
Other income	23,925	-	3,194	27,119
Realized gains		32,361	-	32,361
Unrealised value movements	364,319	(338,866)	218,409	243,862
Gross return	621,473	(222,507)	221,603	620,569
Finance costs	-	(2,378)	(40,107)	(42,485)
Portfolio costs	(82,390)	(43,690)	(30,865)	(156,945)
	(82,390)	(46,068)	(70,972)	(199,430)
Net return	539,083	(268,573)	150,630	421,139
Tax	(18,788)	(11,651)	(4,306)	(34,745)
Total return	520,295	(280,224)	146,323	386,394
Gross return (%)	13.3%	(5.6%)	23.5%	6.5%
Total return (%)	11.1%	(7.1%)	15.5%	4.0%
Opening net asset value:				
Portfolio value	4,715,969	3,747,799	3,525,578	11,989,346
Other net asset/(liabilities)	(47,042)	195,991	(590,938)	(441,990)
Borrowings	-	-	(1,987,980)	(1,987,980)
	4,668,927	3,943,790	946,660	9,559,377
Closing net asset value:				
Portfolio value	5,068,890	2,757,715	3,902,820	11,729,425
Other net asset/(liabilities)	14,338	372,985	(719,090)	(331,767)
Borrowings	-	(81,310)	(1,370,577)	(1,451,887)
	5,083,228	3,049,390	1,813,153	9,945,771
Value movement in the period/(total return)				386,394

(b) Group	Private equity	Quoted equity	Real estate & infrastructure	Total
30 September 2010	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	256,255	76,734	-	332,989
Interest income	-	24,259	-	24,259
Other income	2,755	-	3,092	5,867
Realized gains	3,073	(8,559)	-	(5,867)
Unrealised value movements	287,650	454,668	-	742,318
Gross return	549,753	547,102	3,092	1,099,947
Finance costs	-	(4,603)	-	(4,603)
Portfolio costs	(69,251)	(47,902)	(17,759)	(134,912)
	(69,251)	(52,505)	(17,759)	(139,515)
Net return	480,502	494,597	(14,667)	960,432
Tax	4,101	2,906	1,359	8,366
Total return	484,603	497,503	(13,308)	968,798
Gross return (%)	12.2%	13.7%	0.99%	12.46%
Total return (%)	11.8%	13.4%	(37.9%)	12.3%
Opening net asset value:				
Portfolio value	4,199,794	3,818,248	35,940	8,053,982
Other net assets	(103,152)	(93,780)	(883)	(197,815)
	4,096,642	3,724,468	35,057	7,856,167
Closing net asset value:				
Portfolio value	4,495,656	4,022,706	1,581,427	10,099,789
Other net asset/(liabilities)	23,095	68,516	(6,083)	85,528
Borrowings	-	(98,284)	(1,262,068)	(1,360,352)
	4,518,751	3,992,938	313,276	8,824,965
Value movement in the period/(total return)				968,798

(c) Company	Private equity	Quoted equity	Real estate & infrastructure	Total
30 September 2011	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	233,229	64,886	-	298,115
Interest income	-	11,071	7,000	18,071
Rental Income		-	1,998	1,998
Other income	23,750	-	-	23,750
Realized gains	-	84,660	-	84,660
Unrealised value movements	(92,753)	(401,936)	208,401	(286,289)
Gross return	164,226	(241,318)	217,399	140,306
Finance costs	-	(2,378)	(40,079)	(42,457)
Portfolio costs	(71,041)	(31,877)	(27,627)	(130,545)
	(71,041)	(34,255)	(67,706)	(173,002)
Net return	93,185	(275,574)	149,693	(32,696)
Tax	(18,788)	(11,651)	(4,306)	(34,745)
Total return	74,397	(287,225)	145,387	(67,441)
Gross return (%)	2.1%	(6.1%)	23.0%	1.1%
Total return (%)	0.9%	(7.3%)	15.4%	(0.5%)
Opening net asset value:				
Portfolio value	7,571,499	3,939,975	2,951,418	14,462,892
Other net assets	90,419	4,039	(17,003)	77,455
Borrowings	-	-	(1,987,980)	(1,987,980)
	7,661,918	3,944,014	946,435	12,552,367
Closing net asset value				
Portfolio value	7,487,059	2,759,607	3,904,120	14,150,786
Other asset/(liabilities)	135,322	371,194	(720,489)	(213,973)
Borrowings	-	(81,310)	(1,370,577)	(1,451,887)
	7,622,381	3,049,491	1,813,051	12,484,926
Value movement in the period/(total return)				(67,441)

3 Segment information (continued)

(d) Company	Private equity	Quoted equity	Real estate & infrastructure	Total
30 September 2010	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	256,255	76,734	-	332,989
Interest income	-	28,862	58,605	87,467
Rental income	-	-	2,298	2,298
Other income	3,376	-	-	3,376
Realized gains	-	9,121	-	9,121
Unrealized value movements	706,103	450,153	-	1,156,256
Gross return	965,734	546,628	60,903	1,573,265
Finance costs	-	(4,603)	(58,605)	(63,208)
Portfolio costs	(68,251)	(47,902)	(16,759)	(132,912)
	(68,251)	(52,505)	(75,634)	(196,120)
Net return	897,483	494,124	(14,462)	1,377,145
Tax	4,101	2,906	1,359	8,366
Total return	901,583	2,906	(13,103)	1,385,511
Gross return (%)	18.0%	14.6%	173.2%	17.2%
Total return (%)	16.8%	13.3%	(37.3%)	15.1%
Opening net asset value:				
Portfolio value	5,491,311	3,832,368	35,940	9,359,620
Other net assets	(118,840)	(82,938)	(776)	(202,554)
	5,372,471	3,749,430	35,164	9,157,066
Closing net asset value				
Portfolio value	6,194,311	4,023,507	1,516,538	11,734,306
Other asset/(liabilities)	124,018	20,532	6,508	151,058
Borrowings	-	(98,022)	(1,244,766)	(1,342,787)
	6,318,278	3946,018	278,281	10,542,576
Value movement in the period/(total return)				1,385,511

4 Income

(a) Total investment income

	GROUP		COMPANY	
	2011	2010	2011	2010
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Dividend income	119,387	142,506	298,115	332,989
Rent income	3,193	-	1,998	2,298
Interest income	18,071	24,259	18,071	87,467
Gain on disposal of investments	563,776	529,640	180,970	529,640
Directors Fees	2,877	2,775	2,877	2,775
Other income	21,048	6,166	20,873	601
	<u>728,352</u>	<u>705,346</u>	<u>522,904</u>	<u>955,770</u>

(b) Dividend income

	GROUP		COMPANY	
	2011	2010	2011	2010
Associates	-	-	179,769	190,483
Subsidiary	-	-	-	-
Unquoted investments	53,460	65,772	53,460	65,772
Quoted investments	65,927	76,734	64,886	76,734
	<u>119,387</u>	<u>142,506</u>	<u>298,115</u>	<u>332,989</u>

5 INCOME TAX CHARGE

The interim period tax charge is based on the estimated average annual effective income tax rate of 30% (6 months ended 30 September 2009:30%) on the taxable revenue streams.

6 Earnings per share

	30 Sep 2011 Kshs'000	31 Sep 2010 Kshs'000
Profit attributable to equity holders of the Company	793,177	845,585
Weighted average number of ordinary shares in issue(thousands)	604,947	604,947
Basic earnings per share (Kshs)	<u>1.31</u>	<u>1.40</u>

Basic earnings per share are calculated by dividing the profit attributable to equity holders of the Company by the weighted average number of ordinary shares in outstanding during the year.

At the Annual General Meeting held on 23 September 2011, the shareholders approved a bonus issue of one ordinary share for every ten shares held by utilisation of revenue reserves. This will result in an additional 60,494,701 shares.

7 INVESTMENT IN PROPERTY

The investment in property valued at Ksh.265,000,000 as at 31 March 2011 has since been transferred to Uhuru Heights Limited-a wholly owned subsidiary.

8 QUOTED INVESTMENTS

During the period, the group lightened its holding in local quoted equities.

9 SHARE CAPITAL

The total authorised number of ordinary shares is 800,000,000 with a par value of Kshs 0.50 per share. 604,947,013 are issued and fully paid up.

At the Annual General Meeting held on 23 September 2011, the shareholders approved a bonus issue of one ordinary share for every ten shares held by utilisation of revenue reserves. This will result in an additional 60,494,701 shares.

10 PAYABLES AND ACCRUALS

Included in the payables and accruals is an amount of Ksh.819,272,137 (USD 7,002,488) being balance due in respect of investment property in Uganda.

11 CONTINGENCIES AND COMMITMENTS

There have been no significant changes in contingent liabilities and commitments since 31 March 2011.

12 EVENTS AFTER THE END OF THE REPORTING PERIOD

There have been no material events subsequent to the end of the of the interim reporting period.

13 APPROVAL OF INTERIM FINANCIAL STATEMENTS

The interim financial statements were approved by the board of directors on 8th November 2011 .